IT SERVICES

SECTOR UPDATE

Recommendation summary	(INR)
TCS	BUY
CMP / Target	2,528 / 3,300
Infosys	BUY
CMP / Target	1,295 / 1,650
HCL Tech	↑ BUY
CMP / Target	1,362/ 1,550
Wipro	↑ BUY
CMP / Target	199 / 240
Tech Mahindra	↑ BUY
CMP / Target	1,336 / 1,650
LTIMindtree	BUY
CMP / Target	4,317 / 6,100
Coforge	BUY
CMP / Target	1,140 / 2,100
Persistent	BUY
CMP / Target	4,780 / 6,000
Mphasis	BUY
CMP / Target	2.180 / 3,100
Hexaware	↑ BUY
CMP / Target	442 / 550

Reports of my death are greatly exaggerated

So said Mark Twain, more than 100 years ago, perhaps prognosticating the current state of Indian IT industry. Given the advent and adoption of Gen-AI, obituaries of Indian IT Services industry are being written all around. The concerns have been amplified by the sharp stock reactions—first with global SaaS and now with IT Services companies.

We see this as a déjà vu moment for the industry and believe it shall come out of this disruption—just like earlier ones—with a NET increase in its TAM. We remain positive on the sector from a medium to long-term view; near-term volatility may persist. The sharp correction over the last two months has made valuations highly attractive. We now have a 'BUY' on all the Top-ten IT Services stocks.

At the same crossroads again; IT Services business model to thrive

The Indian IT Services industry is at THAT crossroads again—the advent of a new technology (Gen-AI) threatens to disrupt the way it has been functioning hitherto thereby raising concerns about its near-term growth and long-term survival. We see no existential threat from Gen-AI, as we believe the requirement for a system integrator—which can customise an enterprise' plug-and-play software's input and output as per its requirements—shall always exist. We also note B2B adoption of any technology is very different from that of the B2C segment. Eventually, enterprises going for automation of tasks shall still need someone to take ownership of the system—and that will be IT Services firms.

Initial cannibalisation to bring about eventual TAM expansion

We do however believe Gen-AI adoption shall follow the technology adoption curve. IT Services firms shall face cannibalisation of revenue in the initial phase (which they are facing currently) before they reach the inflection point; post-this, the opportunity shall lead to an expansion of TAM (USD300–400bn by 2030 as per Infosys management). However, the companies are likely to undergo a pivot—from a headcount-driven to outcome-based revenue model. This shall lead to lower headcount addition and lower correlation with revenue growth in coming years.

Battle of narratives in stock market; highly attractive valuations

In the "battle of narratives" seen over last two months, Gen-AI platform companies are making announcements about new tools every week (mostly unproven YET) while SaaS/Services companies are countering with real-life examples of how replacing existing systems is easier said than done. We believe the IT Services model is here to stay and the Gen-AI disruption would only lead to bigger opportunities for them. Post the recent sharp correction, we find the valuations of all stocks highly attractive. Reverse DCF also indicate extremely low terminal growth assumptions. We maintain estimates and lower target multiples slightly to factor in risks from possible higher Gen-AI disruption. We upgrade HCL Tech, Wipro, TechM and Hexaware to '**BUY**'. We now have a '**BUY**' on all the Top-ten IT Services companies. We prefer Coforge, LTIMindtree, Persistent, Mphasis, Infosys and TCS.

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Massive value erosion in last few months

The IT sector has undergone massive value erosion over the last few months. The sector is down 20% since the beginning of the year, with large-caps (-20%) and midcaps (-25%) correcting over the same period. The correction has occurred despite a reasonable performance in Q3FY26 and an improving outlook, as demonstrated by strong deal-wins.

Exhibit 1: Sharp correction across sector in last two months

Stock price returns	CYTD	Last 6mn	Last 12mn
Nifty	**-6.4%**	**-1.2%**	**8.5%**
Nifty IT	**-20.4%**	**-13.0%**	**-21.0%**
TCS	-20.2%	-16.1%	-29.0%
Infosys	-19.0%	-9.4%	-23.7%
HCLT	-16.4%	-4.4%	-14.4%
Wipro	-25.8%	-19.8%	-31.7%
Tech Mahindra	-16.0%	-9.6%	-11.2%
LTIMindtree	-29.2%	-17.4%	-11.0%
Coforge	-30.1%	-29.9%	-23.7%
Persistent	-23.8%	-6.9%	-9.9%
Mphasis	-20.7%	-20.8%	-5.5%
Hexaware	-39.9%	-36.2%	-43.9%

Source: Bloomberg, Nuvama Research

The primary concern behind the recent correction has been the fear of Gen-AI affecting the long-term business model of sectoral companies

The primary concern behind the recent correction has been the fear of Gen-AI affecting the long-term business model of sectoral companies. The recurring announcements by various players in the Gen-AI ecosystem (Anthropic, Palantir, OpenAI, etc) are leading to concerns on Gen-AI making various segments of IT Services companies redundant and hurting their growth (in some cases, even existence) in the near as well as long-term. Some recent announcements by these companies were:

Anthropic—February 2, 2026

- Legal automates contract review, NDA triage, compliance workflows, legal briefings, and templated responses — all configurable to your organization's playbook and risk tolerances. Built for commercial counsel, product counsel, privacy/compliance, and litigation support teams.

Palantir—February 3, 2026

AI FDE is now capable of powering complex SAP ERP migrations from ECC to S/4. Years of work now done in as little as two weeks. And we are generalizing AI FDE's capabilities to do this for a broader and broader set of problems at our customers.

Anthropic—February 20, 2026

- Claude scans codebases for security vulnerabilities and suggests targeted software patches for human review, allowing teams to find and fix security issues that traditional methods often miss.

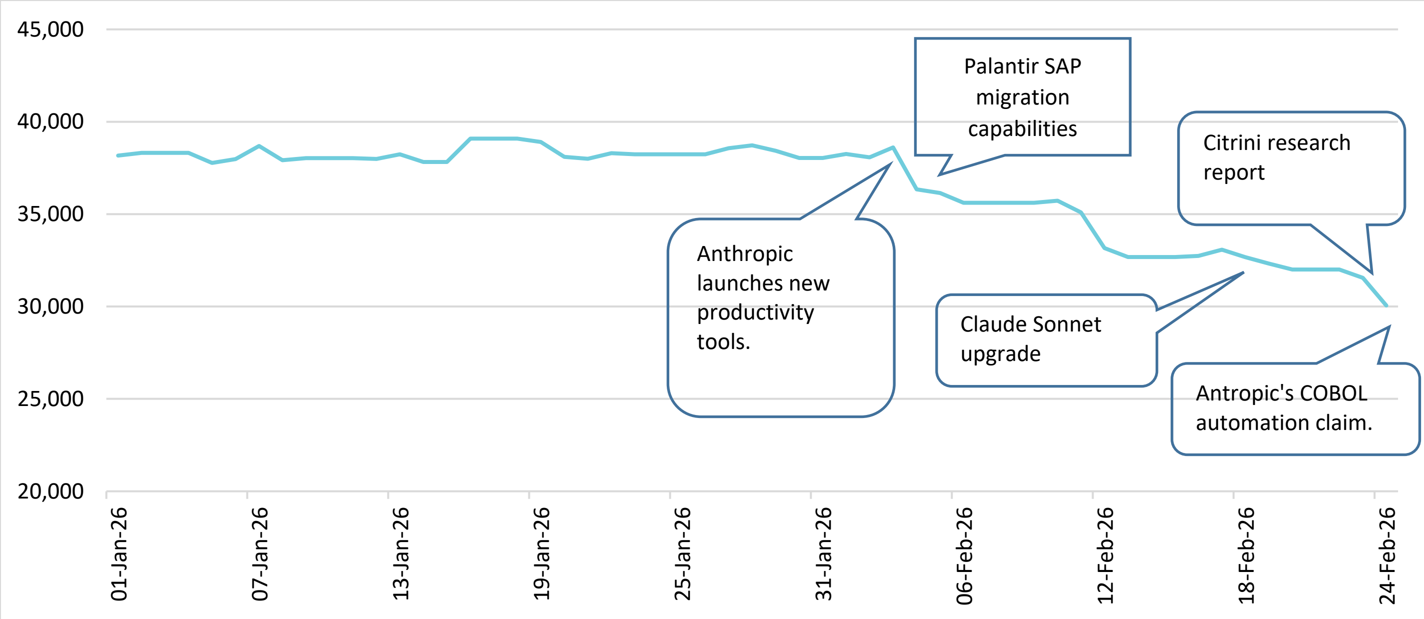
Anthropic—February 23, 2026

- The economics of COBOL modernisation have shifted. AI makes the economics work by automating what used to require armies of consultants. With AI, teams can modernise their COBOL codebase in quarters instead of years. Claude Code can automate tasks including code analysis, dependency mapping and translation to modern languages

Citrini—February 23, 2026

- The marginal cost of an AI coding agent had collapsed to, essentially, the cost of electricity. TCS, Infosys and Wipro saw contract cancellations accelerate through 2027. The scenario was generated by Citrini.

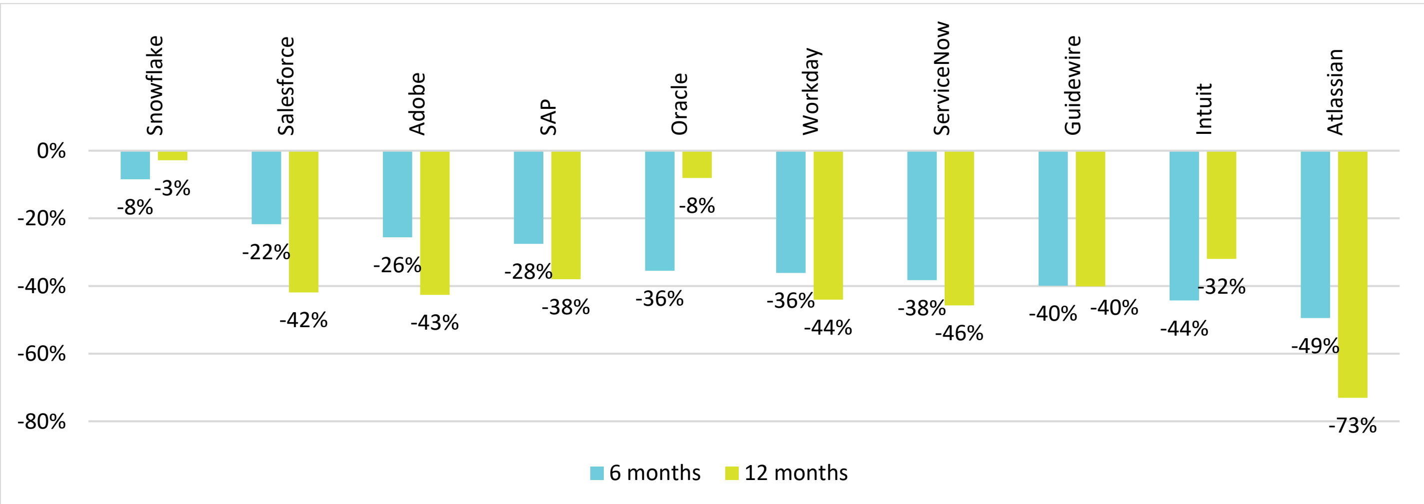
Exhibit 2: Nifty IT index reported sharp correction every time an announcement was made by Gen-AI platform company



Source: Bloomberg, Nuvama Research

The fears have also been compounded by the massive value erosion, which has taken place in software/SaaS companies across the world over the last six months, on fears of their business being completely or partially substituted by Gen-AI solutions. The likes of salesforce, Workday and Adobe have experienced their market capitalisation shrink by 40–50% over the last 12 months.

Exhibit 3: Global SaaS companies have reported sharp correction over last six/12 months due to Gen-AI fears



Source: Nuvama Research, Bloomberg

Déjà vu with an amplifier

In more ways than one, we have a sense of déjà vu about this narrative. Over the last two decades, multiple instances exist of a similar narrative being spread—that the technology disruption will render the business model of IT Services redundant. And every time, the tech disruption has played out to the advantage of these companies, eventually expanding their TAM. The only difference this time has been the sharp stock price reaction this time around—as compared with earlier cycles.

The Indian IT sector underwent a similar downturn when the arrival of digital technology led to lower growth for the sector over FY16–18.

Take for example, the last disruption of Digital applications over 2015–18. The Indian IT sector underwent a similar downturn when the arrival of digital technology led to lower growth for the sector over FY16–18. This period recorded a significant underperformance on part of IT companies versus the broader index.

Exhibit 4: Last tech disruption cycle too reported deceleration in revenue

USD rev YoY growth	FY15	FY16	FY17	FY18	FY19
TCS	15.0%	7.1%	6.2%	8.6%	9.6%
Infosys	5.6%	9.1%	7.4%	7.2%	7.9%
HCLT	12.4%	7.1%	11.9%	12.4%	10.1%
Wipro	7.0%	3.7%	4.9%	2.5%	2.9%
Tech Mahindra	18.3%	10.2%	7.8%	9.6%	4.2%
Average	**11.6%**	**7.4%**	**7.6%**	**8.1%**	**6.9%**

Source: Company, Nuvama Research

Exhibit 5: However, stock price correction was not as sharp as this time

Stock price returns	FY16	FY17	FY18	FY19
Nifty	**-9.9%**	**18.9%**	**10.2%**	**14.9%**
Nifty IT	**-5.4%**	**-4.4%**	**16.9%**	**24.9%**
TCS	-0.9%	-0.9%	17.2%	40.5%
Infosys	12.1%	-15.2%	10.7%	31.4%
HCLT	-13.5%	6.6%	10.7%	12.3%
Wipro	-10.9%	-8.3%	9.0%	20.8%
Tech Mahindra	-24.9%	-0.9%	39.1%	21.5%

Source: Bloomberg, Nuvama Research

However, this cycle appears different from the last one in one critical aspect—the pace and magnitude of stock price reactions. In the last cycle of 2015–18, the sector largely underwent a time correction as well as some price correction. Hence Nifty IT corrected by -10% over these two years—with TCS (-2%) and Infosys (-3%) also correcting, but not sharply. Contrast this with the sharp stock price correction over the last two months in this cycle. We believe this contrast is due to two factors:

The stock market dynamics and participants have changed a lot between the two cycles; the current market is highly volatile and has an abundance of hedge/HFT funds that accentuate the stock price reaction (either ways)

- Gen-AI is likely to be much more disruptive in nature than the digital technology, hence giving rise to a bigger and sharper value erosion.
- The market dynamics and participants have changed a lot between the two cycles; the current market is highly volatile and has an abundance of hedge/HFT funds that accentuate the stock price reaction (either ways).

Notwithstanding this, we believe that while this cycle is much more disruptive than earlier ones, the eventual outcome will be the same. Gen-AI would give rise to revenue compression in the early years, but eventually it would only expand the TAM for Indian IT companies that would start re-capturing market share once the technology becomes mature. We dig deeper into our reasons in the next section.

Valuations close to bottoming out

The IT Services stocks have corrected sharply over the last two months. As a result, most large-cap stocks are now trading below their last 15 year's average—some very close to the bottom multiple of the same period. Midcaps—that have undergone a sharp rerating over the last five years—are trading close to 1x PEG multiple, a near-bottom multiple, in our opinion.

If we use the current prices to do a reverse DCF of the Indian IT Services companies, we find that the CMP is factoring in barely 1–3% growth as terminal growth for them. Coforge (our top pick) has fallen so sharply that its CMP now implies ZERO terminal growth rate. Hence, on a DCF basis too, these stocks offer a highly attractive value proposition.

Exhibit 6: Reverse DCF for companies implies extremely low terminal growth assumptions even with higher WACC

		Forecast period		Terminal assumptions		
Company	**CMP**	**Years of forecast**	**USD rev growth**	**WACC**	**Terminal growth**	**Fair value**
TCS	2,528	10	5.0%	11.0%	3.3%	2,444
Infosys	1,295	10	5.0%	11.0%	2.4%	1,284
HCL Tech	1,362	10	5.0%	11.0%	2.8%	1,338
Wipro	199	10	3.5%	11.0%	2.5%	197
Tech Mahindra	1,336	10	5.0%	11.0%	1.6%	1,306
LTIMindtree	4,317	10	11.0%	11.0%	1.8%	4,307
Coforge	1,140	10	15.0%	11.5%	0.0%	1,121
Persistent	4,780	10	15.0%	11.5%	5.0%	4,691
Mphasis	2,180	10	11.0%	11.5%	1.2%	2,150
Hexaware	442	10	10.0%	11.5%	1.5%	450

Source: Company, Nuvama Research

We maintain estimates and lower target multiples slightly to factor in risks from possible higher Gen-AI disruption. We were already positive on six of the Top-ten IT Services companies. We further upgrade the remaining four—HCL Tech, Wipro, Tech Mahindra and Hexaware—with the current valuations being highly attractive. We now have a '**BUY**' on ALL Top-10 IT Services companies. We believe investors would make handsome returns in ANY/ALL of these stocks from current levels over the next 12–15 months. However, we prefer Coforge, LTIMindtree, Persistent, Mphasis, Infosys and TCS among these names. Coforge remains our top pick in the sector.

Exhibit 7: Our recommendations

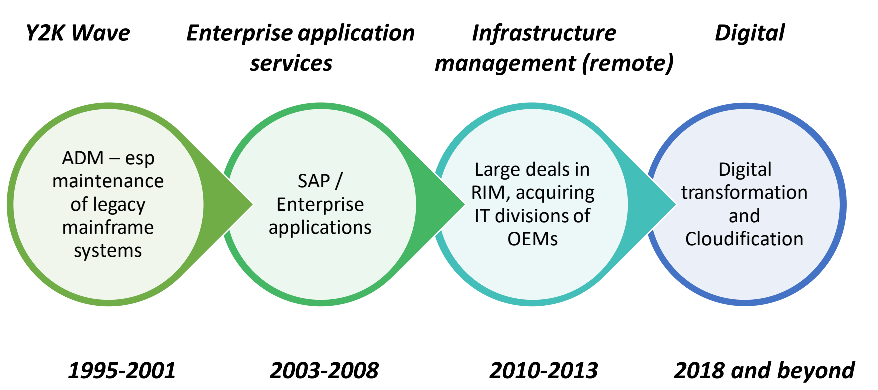
	CMP	**FY27 EPS**	**FY28 EPS**	**Rating**	**New Target**	**New PT**	**Upside**	***Old Target***	***Old PT***
	INR	**INR**	**INR**		**PE (x)**	**INR**	**%**	***PE (x)***	***INR***
TCS	2,528	154	164	BUY	20	**3,300**	31%	*23*	*3,750*
Infosys	1,295	75	81	BUY	20	**1,650**	27%	*23*	*1,900*
HCL Tech	1,362	72	78	BUY	20	**1,550**	14%	*22*	*1,700*
Wipro	199	13	13	BUY	18	**240**	21%	*19*	*255*
Tech Mahindra	1,336	73	82	BUY	20	**1,650**	24%	*20*	*1,650*
LTIMindtree	4,317	215	243	BUY	25	**6,100**	41%	*32*	*7,750*
Coforge	1,140	54	66	BUY	32	**2,100**	84%	*38*	*2,500*
Persistent	4,780	143	171	BUY	35	**6,000**	26%	*45*	*7,700*
Mphasis	2,180	110	123	BUY	25	**3,100**	42%	*28*	*3,400*
Hexaware	442	23	27	BUY	20	**550**	24%	*25*	*690*

Source: Company, Nuvama Research

Been down this road before

The Indian IT services industry is at THAT crossroads again—the advent of a new technology threatens to disrupt the way it has been functioning hitherto, thereby spurring exaggerated concerns about near-term growth and long-term survival of the industry. It happened in the late nineties ahead of the Y2K, then in the early 2010s (RIMS) and again in 2015 with the Digital uptake—not to mention the latest one happening as we speak in the form of Generative AI (Gen-AI).

Exhibit 8: Historical waves of IT Services industry



Source: Nuvama Research

For over two decades now, 'experts' have written the obituary of the Indian IT Services industry. The argument every time is pretty much the same—that THIS time it is different. Every time a new technology threatens to disrupt the established system, concerns arise about the Indian IT industry going out of business altogether—the term used in the last disruption was "the Kodak moment".

Product companies CAN (and do) go out of business; services companies seldom do.

However, we maintain (as we have for long) that the Indian IT Services companies follow a customer-first approach in a services industry, and are fundamentally different from product companies. Product companies CAN (and do) go out of business; services companies seldom do. Furthermore, Indian IT companies have always repositioned themselves to continue to do what they do best—service customers. This has provided them with the longevity they have commanded for multiple decades now. We do not envisage that changing this time either.

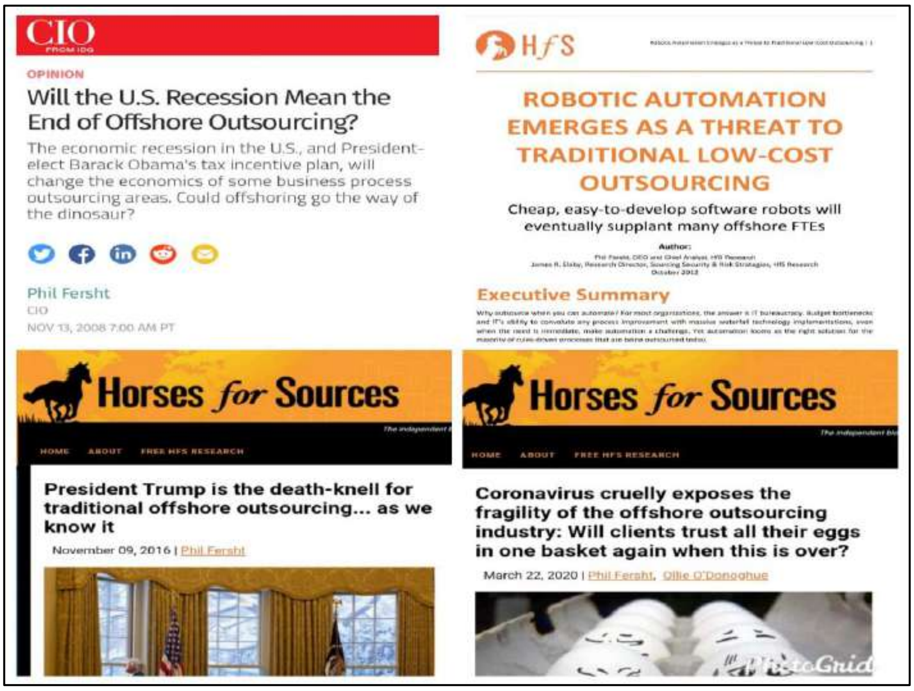
'Experts' have been writing Indian IT industry's obituary for long

Be it the GFC in 2008–09, RPA in 2012, Donald Trump coming to power in the US in 2016 or the outbreak of covid in 2020, 'experts' have predicted doomsday for the Indian IT Services industry's offshoring model, again and again. To what effect? The industry has emerged stronger than before and captured market share more robustly.

'Obituaries' of Indian IT Services

- ***2008**: Will a US recession mean the end of offshore outsourcing?*
- ***2012**: Robotic automation emerges as a threat to traditional low-cost outsourcing*
- ***2016**: Why this is Indian IT industry's Kodak moment?*
- ***2020**: Coronavirus cruelly exposes the fragility of the offshore outsourcing industry: Will clients trust and put all their eggs in one basket again when this is over?*
- ***2024**: India's bloated IT services firms must learn from start-ups to avoid Gen-AI meltdown.*

Exhibit 9: Obituaries of Indian IT Services have been 'written' time and again



Source: Hfsresearch, ET, media sources

This time again, Gen-AI is touted to be the death knell for the Indian IT Services industry and change the way IT Services business is conducted. We do not envisage it to be any different from last time, and reckon Indian IT firms shall emerge stronger from this technology disruption, as they have always done before.

Uncanny similarity to SAP and digital disruptions

While the technology industry has faced multiple disruptions, we observe uncanny similarities between the two earlier disruptions:

The 2003–06 SAP ERP disruption: During 2003–06, SAP started finding increased acceptance as a one-stop solution for ERP needs of enterprises across the globe. SAP, due to its renewed offerings, offered a plug-and-play ERP solution—which, at that point, imperilled the entire ERP offerings of Indian IT companies. The argument was—why would enterprises require IT vendors to design an ERP application for them if a software company was providing the same solution by simply purchasing a license. However, as it turned out, purchasing a license is one thing—and customising the application to one's need quite another. Eventually, the SAP framework opened up an enormous ERP segment, as an addressable market for IT Services companies and it has been a huge contributor to the IT Services industry's growth even after two decades.

The 2015–18 SaaS disruption: The same proposition played out once again in 2015. SaaS companies such as Salesforce and Workdays threatened the IT Services business model yet again. Once again, the same fears reappeared of SaaS companies replacing the existing IT Services business model, as enterprises would switch to pay-as-you-go SaaS licenses. In less than a decade, IT services companies are the biggest purchasers of the Salesforce and Workdays licenses, as they implement the same for their enterprise clients, customising as per their requirements.

What *is* the Gen-AI threat?

While a lot has been written about Gen-AI and its threat to SaaS and Services companies—Gen-AI attacks three pillars of the business model of IT Services companies:

- **Labour-driven revenue:** More tasks (especially coding) can now be done with fewer people; hence this a direct threat to the headcount-based model of IT Services companies.
- **Outsourcing cost arbitrage:** Gen-AI reduces the number of people required. Hence, the cost arbitrage of skilled workers (based out of India) gets affected.
- **Long contracts for routine work:** Long-term maintenance and other labour intensive can now be 'automated', reducing overall billability.

Exhibit 10: Areas of IT Services that Gen-AI threatens to disrupt and displace

Traditional Revenue Stream	How Gen-AI affects IT
Coding and development	AI can generate and test code faster with fewer people
Application maintenance	Chatbots + automation reduce support headcount
Testing and Q&A	Automated test generation cuts labour needs
Back-office BPO	AI bots handle repetitive work more cheaply
Data processing and analysis	AI tools can ingest and summarise data with limited supervision

Source: Nuvama Research

Initially, these primary facets of Gen-AI were likely to affect the IT Services business model. But as Gen-AI evolved, concerns started emerging that Agentic AI would replace entire SaaS models—products such as Salesforce, Adobe and Workday. Then why stop at SaaS/Products? Agentic AI can replace a lot of work being done by IT Services companies—including integration of various platforms and maintenance—and anything that requires some form of coding activity.

Most of these concerns have cropped up over the last few weeks as multiple companies in the Gen-AI ecosystem announced platforms/solutions that replaced the SaaS/product companies in that domain and threatened the Services companies implementing them. Some of the announcements were:

- **Claude—legal:** Legal automates contract review, NDA triage, compliance workflows, legal briefings and templated responses—all configurable to organisation's policy and risk tolerances.
- **Claude—Cyber Security:** Claude scans codebases for security vulnerabilities and suggests targeted software patches for human review, allowing teams to find and fix security issues that traditional methods often miss.
- **Palantir—ERP migration:** AI FDE is now capable of powering complex SAP ERP migrations from ECC to S/4. Years of work now done in as little as two weeks.
- **Claude—COBOL code:** With AI, teams can modernise their COBOL codebase in quarters instead of years. Claude Code can automate tasks including code analysis, dependency mapping and translation to modern languages

While some of these solutions do offer a better alternative than the current one, we note that enterprise clients are unlikely to pick up an off-the-self product—with zero track record and security assurance—to replace an existing product that is working fine. We dig deeper into this.

Why Gen-AI will NOT 'eat' IT Services

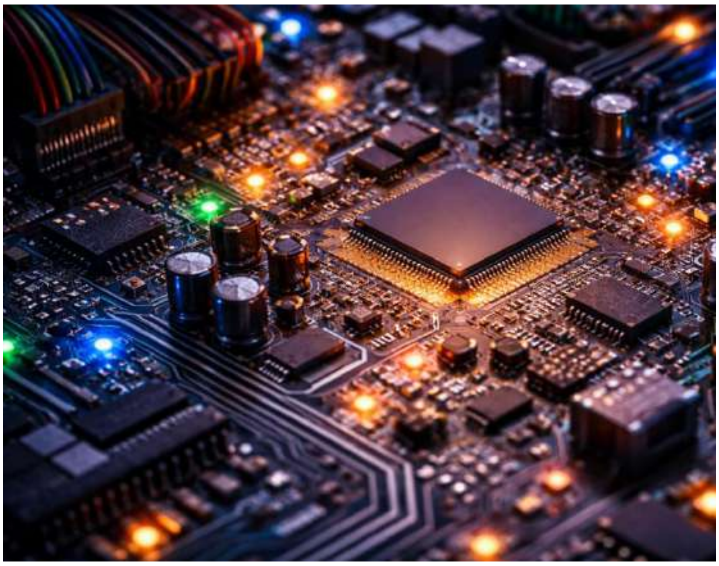
We firmly believe Gen-AI (including its various forms such as Agentic AI) shall be unable to displace the IT Services industry model in any meaningful manner. There would be some disruptions, which are in the nature of the technology industry. However, the customised, high-fidelity solutions that IT Services companies provide shall be extremely difficult (if not nearly impossible) for enterprises to substitute with the new off-the-shelf products that have little track record of success at the enterprise level.

Complexity of writing code never a bottleneck; complexity of enterprises remains key

Enterprise software complexity is NOT driven by the complexity of writing a software code, but by the complexity of organisations. As enterprises grow—across geographies and segments—they become more complex. The requirements of customers vary from their product specification to their billing requirements. So do the complexity of supply chain, employees and other resources. This means enterprises would ALWAYS need a third-party vendor to customise advanced application software to their own specific requirements. Furthermore, the needs of a JP Morgan would always be very different from a Siemens, Unilever or a Toyota.

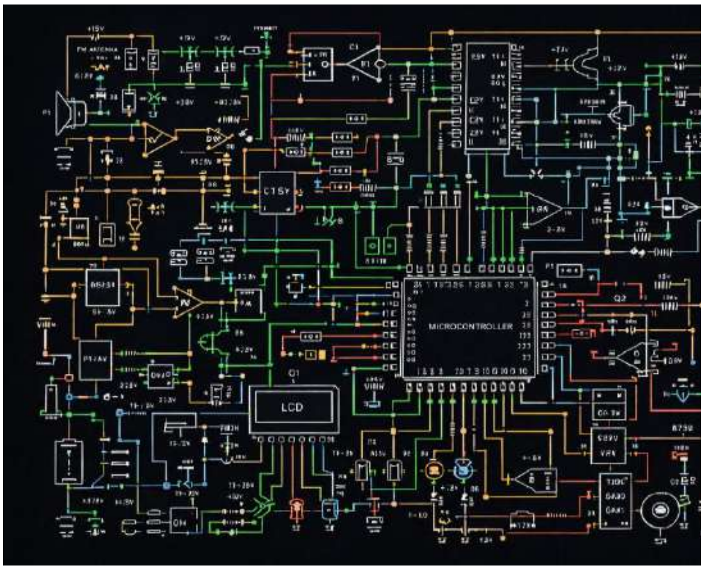
We try to explain this through a simple analogy—an electronic circuit. Imagine an enterprise as an electronic circuit—with various components (transistors, capacitors, ICs) as different software that an enterprise requires for its operations. From outside, the enterprise structure would appear very simple like exhibit 9. However if go deep inside the circuit (the enterprise), its architecture would appear much more complex like exhibit 12.

Exhibit 11: Electronic circuit looks simple from outside…



Source: Chatgpt, Nuvama Research

Exhibit 12: …but has a highly complex architecture inside



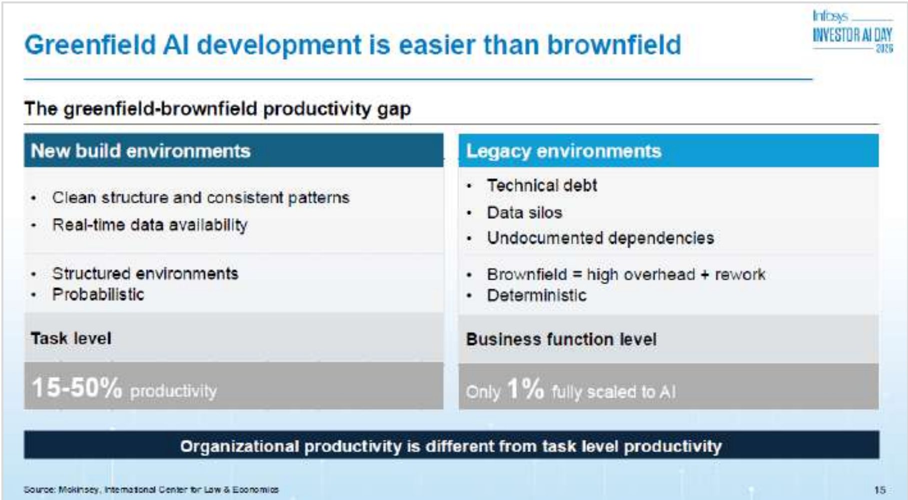
Source: Chatgpt, Nuvama Research

Now, if this circuit represented the internal architecture of an enterprise, one can begin to understand its complexity. New product innovations would keep happening —vacuum tubes to transistors to Integrated Circuits (ICs) to VLSICs. However, you would still need a person to 'solder' those components into the existing circuit. Most importantly, you would need a person that knows the circuit and how/where to integrate a new piece of electronics.

The same applies to enterprises. Even if they decide to replace an existing software—SAP by salesforce, salesforce by some Gen-AI-based application – they would still need an IT Services firm to replace the existing software and integrating the new one into the existing enterprise architecture. Moreover, just like an electronic circuit, the IT Services firm would need to know/understand the existing architecture of the firms as well as understand the software they are replacing and the new one as well.

Mr Nandan Nilekani in the recent AI day hosted by Infosys management, made this point in a different way—brownfield versus greenfield enterprise.

Exhibit 13: Greenfield AI development much easier than brownfield



Source: Infosys.

Force fitting Gen-AI into an existing brownfield enterprise structure cannot be done overnight

As highlighted by Mr Nilekani, it is much easier to use Gen-AI (or any other new technology) in a greenfield enterprise environment—where the entire enterprise architecture, data entry, assimilation and interconnectivity of application can be designed from scratch (greenfield) as per the requirements of the new product/application. However, force fitting the same into an existing brownfield enterprise structure cannot be done overnight. More importantly, a lot of work would need to be done around the product/application.

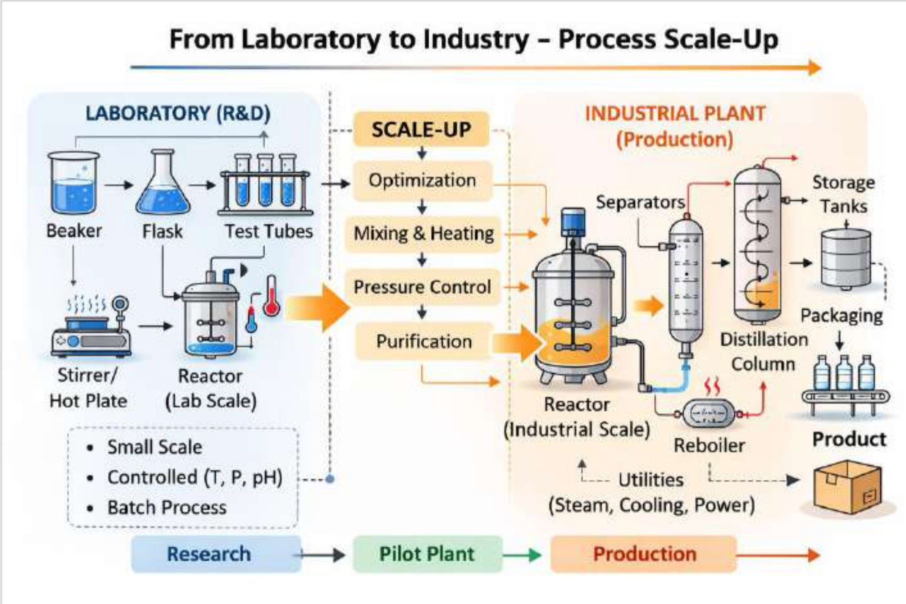
Furthermore, what is greenfield today is certain to become brownfield tomorrow. Hence, in the best-case scenario, a greenfield enterprise that is "born Gen-AI'" may be able to work ONLY with Gen-AI application today. However, in the next technology cycle, it would be a brownfield enterprise and hence would again require the services of a system integrator – the IT Services companies.

From laboratory to industry—not everyone makes it

In the chemical engineering field, there are many reactions, which have been successfully conducted in a controlled environment of a laboratory on a small scale. However, when it comes to scaling up these reactions, at industry/plant level—many reactions fail or are commercially unviable to reproduce. Some such reactions are:

- Grignard reaction (hydrolysis of Grignard reagent)
- Friedel crafts alkylation (benzene + methyl chloride)
- Corey Chaykovsky reaction (epoxide formation).

Exhibit 14: Long road from laboratory to industry



Source: ChatGPT, Nuvama Research

Transpose this to the industry level—software or otherwise. So many innovations or disruptions have—after the initial hype—failed to see the light of the day. Some classic examples are:

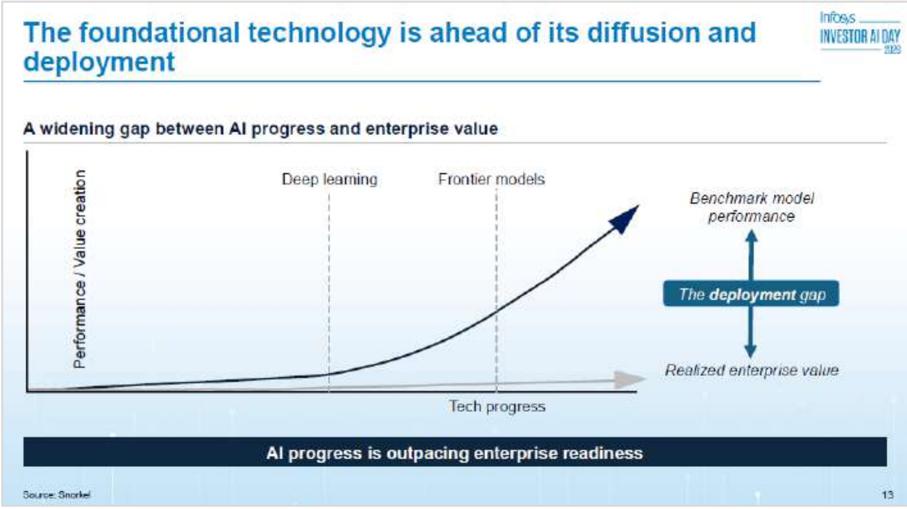
- **Driverless cars:** The concept first surfaced almost 20 years ago. And yet, commercially viable, driverless cars that can run in any (or even most) part(s) of the world, are still a distant reality
- **Blockchain/Metaverse:** Blockchain was touted to be the next big thing with its distributed ledger technology (DLT), but failed to gain meaningful traction even after almost a decade of existence. Metaverse, of course, did not last even half a decade, and is now a small footnote in the list of disruptions that never managed to disrupt.

B2B adoption of any technology is much more prolonged than B2C

This drives home an important point—enterprise adoption of any technology always lags the adoption by retail customers. In other words, B2B adoption of any technology is much more prolonged than B2C. The reasons are quite obvious: enterprises will not just buy something new or exciting off-the-shelf. They would always analyse the new product/application, wait for it to evolve and become safe and secure, monitor the impact of integrating it into their existing architecture and only after that—if it still offers a compelling value proposition—would enterprises adopt the new technology. Here again, Mr Nilekani explained it in a very interesting way, by referring to it as technology deployment gap.

Hence, we believe any new technology development, which creates waves for retail consumers, might not yield the same results (at least not at the same pace of adoption) for enterprise customers. The various platforms being announced by various software companies (Anthropic and Palantir) shall not be just picked off-the-shelf by enterprise customers. Enterprise customers would let the technology evolve, analyse its benefits and shortfalls, and only then, if it offers a really compelling value proposition, would they integrate it into their existing system—and that too, shall need to be done eventually, by an IT services vendor.

Exhibit 15: Technology deployment gap between B2C and B2B adoption



Source: Infosys.

Who would the enterprise go to, if the systems fails at 2AM at night? The Gen-AI companies would not do so, as they do not provide services, nor have the resources for it. For decades, the IT Services companies have been handling this responsibility

Automation of task versus ownership of system

It essentially boils down to this. Gen-AI applications offer a superior alternative to automate many workflows and processes. But who will own the system or the outcome thereafter? Gen-AI firms would provide plug-and-play applications, which will have to be integrated into the existing architecture of the enterprises. Who would take the responsibility to do that, and own the outcome? Who would the enterprise go to, if the systems fails at 2AM at night? The Gen-AI companies would not do so, as they do not provide services, nor have the resources for it. For decades, the IT Services companies have been handling this responsibility.

Even if we assume that an enterprise decides to execute the integration internally (insourcing as we call it), over a period of time, as enterprises grow and systems become more complex, it would eventually need a third-party system integrator to do the same. Hence, the business might come to the IT Services companies with some lag, but it would eventually flow to them. The same was echoed by various leaders in the technology space in their recent comments (exhibit 26).

Workday Co-founder, Mr Aneel Bhusri, in his recent earnings call:

- *"Our application domains are really, really hard to build. I've been working in the HR and ERP space for over 30 years. These are true systems of record that must process transactions with absolute accuracy and speed, enforce complex security models and comply with statutory and regulatory requirements all over the world. That kind of complexity is very hard to replicate. No amount of vibe coding is going to produce an HR or an ERP system."*

If coding skills was ever the bottleneck, many more tech disruptions before would have negated it.

Hence, we believe IT Services companies and even the SaaS applications that they implement have a moat, which cannot be eroded, just by better and faster coding ability. If coding skills was ever the bottleneck, many more tech disruptions before would have negated it. The bottleneck is the complexity of enterprises and someone willing to understand that and devise a solution customised to its requirement. Gen-AI does not offer a solution to that—at least NOT YET.

We do admit, however, that the Indian IT companies' growth profile, during technology disruptions, varies in line with technology cycles. There are periods of low growth—when companies cede market share and/or record lower industry growth itself. Then there are periods of higher growth too—driven by overall strong demand and/or Indian IT companies capturing market share from their global counterparts. Most times, these follow the technology adoption cycle.

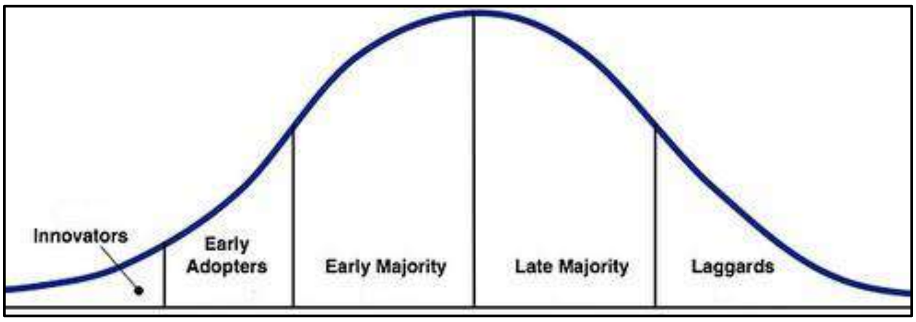
Technology adoption curve

Most technology products or disruptions follow the typical technology adoption curve—profiled by various customer segments. Furthermore, we have seen technology adoption by enterprises too follows this curve. Indian IT Services companies follow an interesting trend along this curve:

Indian IT Services companies tend to lose market share in the 'Innovator' phase

- Indian IT Services companies tend to lose market share in the 'Innovator' phase. This phase is marked by uncertainty around the new technology—and thus clients tend to be exploratory. They either prefer to go with large established players (such as Accenture) or new-age tech start-ups. Thus, Indian IT Services companies are sandwiched between the two, losing market share—reflecting in tepid growth in this phase.
- As the new technology finds widespread adoption, Indian IT companies train themselves for it and hit the scene with the same delivery capability at lower cost and better delivery capabilities. This enables them to recapture market share and report robust growth. This typically continues over 'Early Adopters' and 'Early majority' phases.
- In the last two phases—'Late majority' and 'Laggards'—the technology becomes ubiquitous and clients start looking out to save costs through vendor consolidation. This typically leads to tepid growth in that specific technology.

Exhibit 16: Technology adoption curve



Source: Nuvama Research

The latest instance of the Indian IT Services companies following this cycle was with Digital adoption.

- During 2015–18, digital technologies were in the innovator phase, leading to modest growth for Indian IT companies.
- The period 2019 onwards can be termed as the "Early adopters" period, which we believe might be about to end. This period recorded robust growth over FY21–23, which was interrupted by modest growth in FY24–25—mainly due to weak global macro.
- FY26 and beyond, we reckon the "Early majority" phase shall start for Digital adoption and strong growth shall ensue. That may (and shall probably) be interrupted by the "Innovators" phase for Gen-AI adoption.

In terms of Gen-AI adoption, we believe the industry is currently in the "innovators" phase

In terms of Gen-AI adoption, we believe the industry is currently in the "innovators" phase, where it is reporting revenue deflation and market share being taken by new start-up companies. We believe this phase shall last for another few quarters (as it has been continuing for almost a year now).

The Gen-AI cycle growth dynamics

We believe Gen-AI too is likely to follow a typical technology adoption curve. Given it would start with the 'Innovator phase', concerns have cropped up about Indian IT Services companies undergoing another cycle of market share loss and modest growth. This has played out over the past three–four quarters, when Gen-AI headwinds have affected the growth profile of Indian IT Services companies (along with tariff uncertainty and weak macro).

Overall, Gen-AI appears to be a highly disruptive technology, which—despite the euphoria—is likely to stay. We do not expect Gen-AI to meet the fate of other "once everywhere now nowhere" technologies such as Metaverse, Blockchain or Thin Client Architecture before. Furthermore, just like the earlier technologies, Gen-AI adoption too would follow the technology adoption curve, meaning Indian IT Services companies are likely to lose market share in the initial 'Innovator phase', leading to tepid growth from this segment in the near to medium-term. We assess the impact of Gen-AI on growth of Indian IT companies as follows.

Near to medium term impact (0–2 years) – net negative

Gen-AI is rapidly evolving with various firms (such as Anthropic) announcing new platforms for enterprise use, almost every week. However, we believe the industry would take time to understand this technology and start incorporating it into their systems. As with most new technologies, the B2C adoption is much faster than B2B—we reckon Gen-AI shall mimic the same.

Indian IT companies are already operating in this deflationary environment. The tepid growth in FY26 is an outcome of the Gen-AI impact along with tariff led uncertainty and weak macro

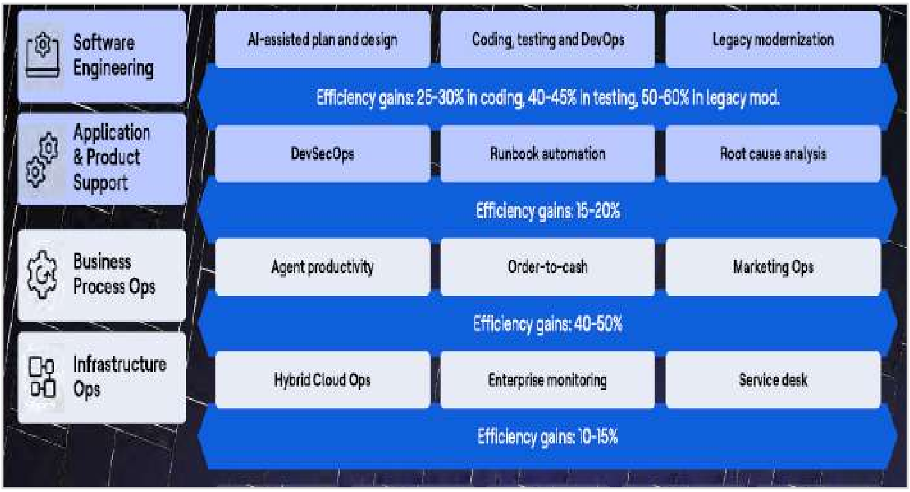
In the near term, we forecast the impact of Gen-AI adoption by enterprises shall be deflationary for IT Services vendors. Gen-AI adoption is likely to lead to automation/redundancy of a significant quantum of work being done by the vendors. Vendors shall now be able to use various Gen-AI tools to write the same piece of code using fewer resources. This would lead to a reduction in manpower requirements as well as the timeline of application developments, which would result in deflation of the anticipated billings.

However, we note that Indian IT companies are already operating in this deflationary environment. The tepid growth in FY26 is an outcome of the Gen-AI impact along with tariff-led uncertainty and weak macro. We estimate this revenue compression shall continue to affect the revenue growth of Indian IT companies over the next few quarters. Gradually, this deflation should reduce post-which we believe it shall reach an inflection point when the net new opportunity from Gen-AI would more than mitigate the deflationary impact.

HCL Tech management also quantified the net negative impact of Gen-AI on FY26 growth to be 2–4% negative

As highlighted by HCL Tech management recently, efficiency gains due to Gen-AI adoption are likely to range from 10–50%—depending on the nature of work and clients' willingness. Recently, management also quantified the net negative impact of Gen-AI on FY26 growth to be 2–4% negative.

Exhibit 17: Gen-AI-led efficiency gains in different service lines—A snapshot



Source: HCLT.

Long-term impact (beyond two years) – mammoth opportunity

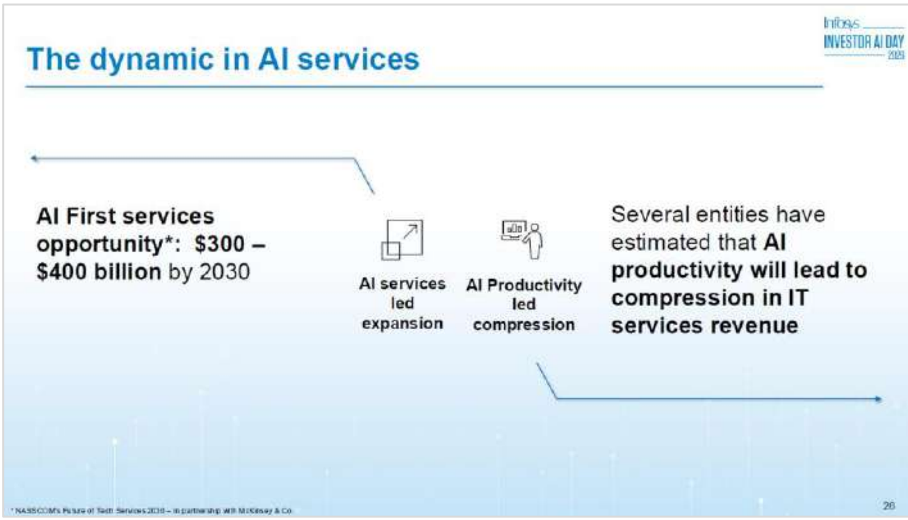
Over the medium-to-long term, Gen-AI is likely to create a mammoth incremental opportunity for IT Services companies. Once clients implement preliminary Gen-AI use cases, the scope and application of work would explode. Clients would then want Gen-AI to not just save costs (the focus in earlier phase), but to help them grow revenue and profitability, and provide a competitive edge.

In one–two years, we reckon Gen-AI shall reach the "Early adopters" phase, which should set it up for strong growth in subsequent years

This is exactly what we are seeing in adoption of cloud and other digital technologies, as clients are now chasing incremental benefits from these technologies, which had taken root as cost-saving initiatives. In one–two years, we reckon Gen-AI shall reach the "Early adopters" phase, which should set it up for strong growth in subsequent years.

In its recent AI day, Infosys management quantified the incremental opportunity from AI services at USD300–400bn by 2030. Considering the current size of the Indian IT industry is USD250bn, the AI opportunity showcases a mammoth TAM for companies to grow over coming years.

Exhibit 18: Gen-AI to open up USD300–400bn opportunity by 2030



Source: Infosys.

Over the next few quarters, we will see more Services companies (TCS, Cognizant, Cap Gemini, etc) also partner with premier Gen-AI platform companies (Anthropic, Open AI, etc)

IT Services companies to partner with Gen-AI platforms

In its recently concluded webcast, Anthropic highlighted it has partnered with Accenture and Infosys as system integrators. We believe this is testimony to the fact that Gen-AI platform companies shall also need to partner with Services companies, to implement their models for enterprises. Over the next few quarters, we shall see more Services companies (TCS, Cognizant, Cap Gemini etc) also partner with the premier Gen-AI platform companies (Anthropic, Open AI etc).

Then we forecast the same cycle shall start. These platform companies shall start issuing certifications (Gold, Platinum levels etc)—certifying developers capable of implementing their platforms. IT Services companies shall get their developers certified on them, and then the developers shall be the only option available for enterprises to implement these Gen-AI platforms. The same cycle played out with SAP and salesforce and we do not expect it to play out any different his time either.

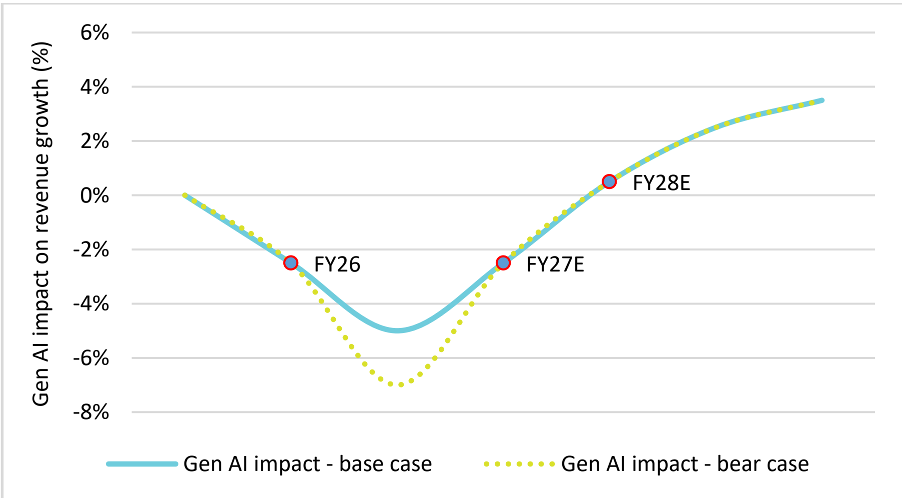
Exhibit 19: Partnerships by Anthropic

Source: Anthropic.

Overall, Gen-AI shall affect the revenue growth of the sector in two stages:

- **Stage 1: Net deflationary—**when automation would deflate revenue and would not be completely mitigated by the rise in TAM and higher billing rates.
- **Stage 2: Net beneficiary—**when the benefits from higher TAM and billing rates shall be more than the deflation.

Exhibit 20: Gen-AI net-impact on revenue growth of IT Services companies



Source: Company, Nuvama Research

Special case: Legacy code upgradation

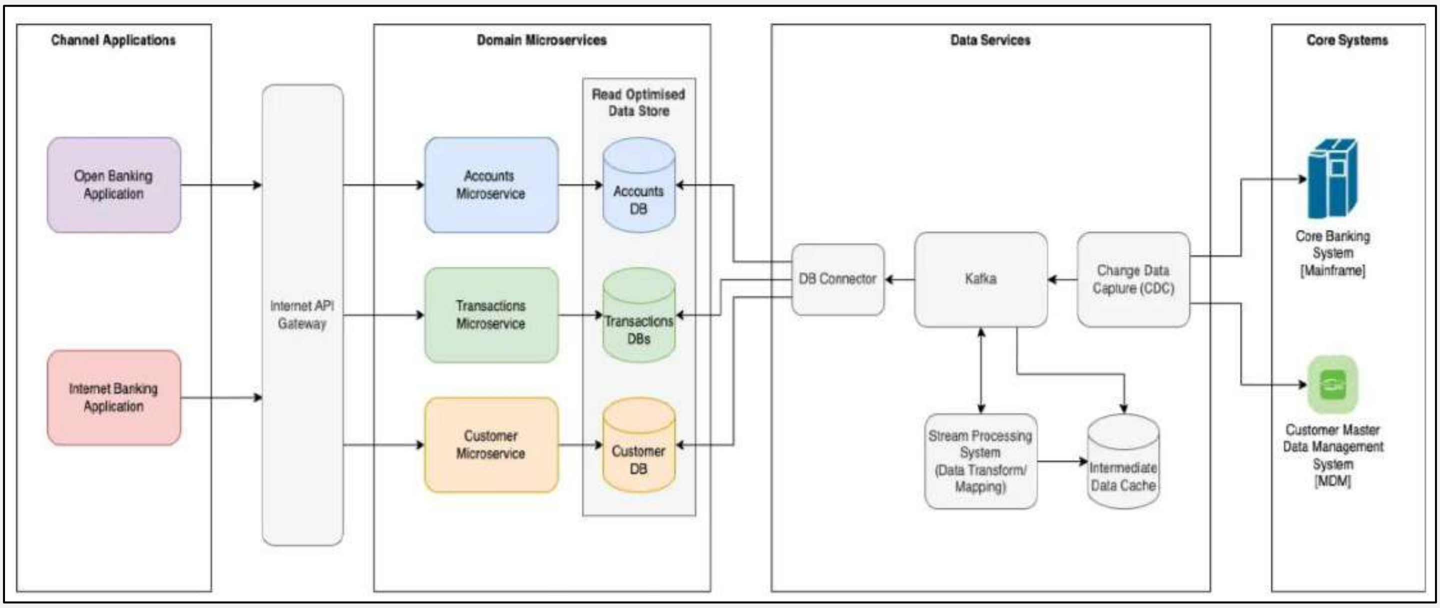
One of the biggest application areas of Gen-AI—which the IT Services industry is excited about—is the modernisation of legacy codes. Sitting atop thereof is a decades-old problem, awaiting a solution—modernisation of CBS i.e. the Core Banking System.

What is Core Banking System?

A core banking system (CBS) is the workhorse of a financial institution, the backend system that handles most of a bank's operations including transaction processing, account management, payments and loans. These powerful engines are designed to process high volumes of transactions daily across every connected branch of the bank and interface with the general ledger.

Most of the CBSs being used across financial institutions across the world are positioned on Mainframe, running on an archaic coding language called COBOL.

Exhibit 21: Architecture of Core Banking System (CBS)



Source: IBM, Nuvama Research

Mainframes are the traditional big closet-size computers with a green screen. Yes, they do exist even today

COBOL stands for Common Business Oriented Language—one of the first languages in which software codes were written

More than 70% of banking corporate data still resides on the mainframe. Banks continue to like their existing (however archaic) CBS due to its reliability, security, analytical speed and scalability. However, these benefits are also available with most new-age applications. At the same time, running a CBS on mainframes faces significant challenges:

- The mainframe systems are still those archaic ones with predefined amount of storage and memory versus the latest servers that can deploy storage/memory on the go.
- COBOL language programmers are in low supply and those that are available are aging. Hence any "new" application that a bank wants to integrate into its CBS requires these people, who are now old and in low supply.

Enter Gen-AI-led platforms. ***Translating code is one thing. Modernising a platform is something else entirely. The two are not the same, and the gap between them is where most enterprises run into trouble.***

IBM management wrote in its blog. Read here:

https://newsroom.ibm.com/blog-lost-in-translation-what-the-ai-code-debate-keeps-getting-wrong

Why banks are not ready to upgrade their CBSs

This would mean that banks across the world should have upgraded their CBS long ago or should have been keen to do it. Instead, we find that banks have been pushing out the upgradation of these projects for years, fearing:

- **The cost of these upgrades (time and money)** is likely to be huge—particularly time. The CBS was written four–five decades ago and has undergone multiple iterations of updates. Upgrading that to a new system, which still offers the exact same features, is likely to be a big drain on resources.

- **Potential risk of any downtime and/or failure** is by far the biggest reason banks have been staving off the adoption of a new system/Gen-AI. Any new system, however thoroughly tested, shall always carry the risk of a glitch w.r.t. some set of transactions. This is something that banks would not want to see, at any cost.

Hence, global financial institutions have been shying away from these upgrades for decades now. Interestingly, this has immensely benefitted the IT Services companies—particularly Indian. Maintenance of these mainframe systems, which is carried out by coders that know COBOL, is a recurring stream of revenue. Since most non-Indian (read European) do not have the scale to hire and deploy employees with the ability to code in COBOL (not to mention supply crunch)—they have ceded this opportunity to Indian IT Services companies.

Even so, both the client (the banks) and the vendor (IT Services companies) know that eventually these systems MUST be upgraded. Hence, the entire industry has been long looking for a solution that the vendors find easy to implement and the clients find reliable.

Enter Gen-AI-led platforms

With the advent of Gen-AI, the industry finally appears to be nearing a solution. With Gen-AI-enabled platforms, parts of these codes can be extracted and converted to a format, which is compatible with modern coding languages. Gradually, this could translate to upgradation of the entire CBS. Of course, part of the modernised codes would have to be rigorously tested and their compatibility with the entire system ascertained. However, at least a start appears to have been made.

The IT Services industry is quite excited about this opportunity. It was only a matter of time before a solution emerged that would enable these banks to upgrade their CBS. With Gen-AI platforms though, incumbent vendors can ensure they grab the opportunity of upgrading these systems. Furthermore, incumbents are likely to get first preference to develop any application(s), which reside on top of upgraded CBSs.

This is where Anthropic's announcement, that its agent Claude understands COBOL and could aid modernisation of legacy code, gets interesting. All things considered, this is a positive development for the overall IT services industry, as they would have an even more compelling case to present to enterprise clients. TCS, Infosys and many other companies have already been working on projects to modernise legacy code using Gen-AI applications. IBM already has a tool to convert COBOL code to newer languages. Hence, any development on that front would be net positive for IT Services companies, as eventually the work to modernise the code would come to these companies.

Hence, we envisage the Indian IT industry as a NET beneficiary of this huge opportunity of modernisation of legacy code.

Key takeaways from call with industry expert

*Read our report on KTAs from call with industry expert **here***

We hosted an IT industry expert (pre-sales head at a leading Indian IT company) to assess the impact of Gen-AI on the industry. Key highlights: i) current disruption to play out similar to earlier ones; ii) enterprise clients would have to come to IT services companies for any Gen-AI implementation; iii) Enterprise will have to use combination of Human + Token to optimise output and cost; iv) Gen-AI shall lead to reskilling/rebadging of employees rather than large-scale reduction.

Key takeaways

- **Same as earlier cycles**: Overall, Gen-AI disruption is similar to earlier RIMS or digital disruptions. Indian IT companies would partner with AI platforms, just like they have partnered with SAP/salesforce before. Only the pace of tech adoption is faster this time.

- **Adoption is gradual**: Gen-AI has been in the enterprise ecosystem for about three years, with adoption accelerating post-covid. However, most enterprise technology remain heavily legacy-driven (~80–85% legacy exposure), resulting in gradual rather than disruptive adoption.

- **Compliance and regulations to hinder quick adoption**: Highly regulated sectors such as insurance and healthcare are adopting Gen-AI more slowly due to data privacy, compliance, and governance constraints.

Anthropic and OpenAI are like other product companies; they will need to partner with IT services companies for large enterprise adoption

- **Partnerships**: Anthropic and OpenAI are like other product companies; they will need to partner with IT services companies for large enterprise adoption. This tech cycle is similar to previous cycle, although pace of adoption is much faster.

- **Two-track adoption**: Brownfield (existing contracts/legacy systems) and Greenfield (new projects). Brownfield changes are cautious and phased; Greenfield projects adopt latest AI-enabled architectures from the start.

- **Short-term deal dynamics**: Enterprises are currently testing Gen-AI through PoCs and selectively injecting capabilities into ongoing projects. Multi-year outsourcing contracts limit rapid replacement of legacy systems, but Gen-AI capabilities are increasingly being included in RFPs and contract renewals.

While some legacy FTE-based revenue may face pressure, new AI capabilities command higher billing rates (~30–40% delta for certain new skills).

- **Higher billing rates for AI-led services**: While some legacy FTE-based revenue may face pressure, new AI capabilities command higher billing rates (~30–40% delta for certain new skills). New projects may be structured differently (platform fees, usage-based pricing and agents marketplace).

- **Productivity and cost-savings**: AI deployments are already delivering ~15–18% efficiency improvements on average, compared with ~8–12% from traditional AI, with certain mature use cases achieving up to ~30–35% productivity gains.

- **Token economics becoming key cost driver**: Token consumption is emerging as an important cost component in Gen-AI deployments. Enterprises are increasingly optimising token usage and automation levels to balance cost efficiency with operational performance.

- **Workforce impact likely to be gradual and skill-driven:** Rather than significant job losses, the industry is likely to report role evolution and workforce reskilling, with demand shifting toward AI engineers, platform specialists, and AI-enabled software developers.

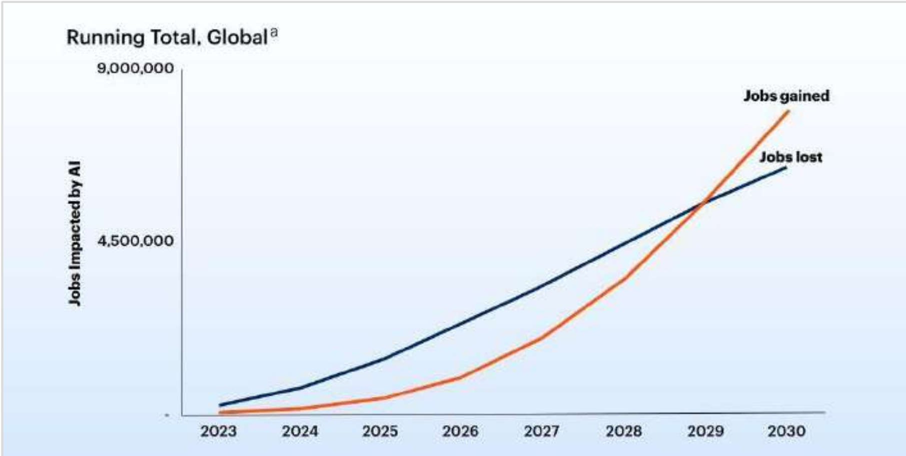
The headcount conundrum

The scariest and most talked-about aspect of Gen-AI, not restricted to the technology space, is its impact on jobs and employees. Gen-AI simplifies many jobs, which are being done by humans right now (documentation, processing, etc), making those roles redundant. Hence, Gen-AI adoption is likely to lead to mammoth job losses across the world over the next few years. While the impact on the overall world economy is outside the scope of this report, we cite the following research from Gartner, where it predicts NET job-losses till 2028—but NET new jobs being created post that – overall leading to NET job addition due to Gen-AI.

An article in The Wall Street Journal, compared the current scenario with the scenario in 2000 when the internet was also anticipated to lead to humongous job losses and ended up creating more jobs than displacing

https://www.wsj.com/tech/ai/internet-work-ai-9c42127d

Exhibit 22: Gen-AI impact on global jobs – forecast by Gartner



Source: Gartner.

The impact of Gen-AI on the headcount of IT Services is going to be significant. Large pieces of 'basic' code, written by developers, can now be written using Gen-AI. Learning the syntax of a coding language is no longer a bottleneck. Vibe coding tools and self-educating LLMs would make writing software less human intensive.

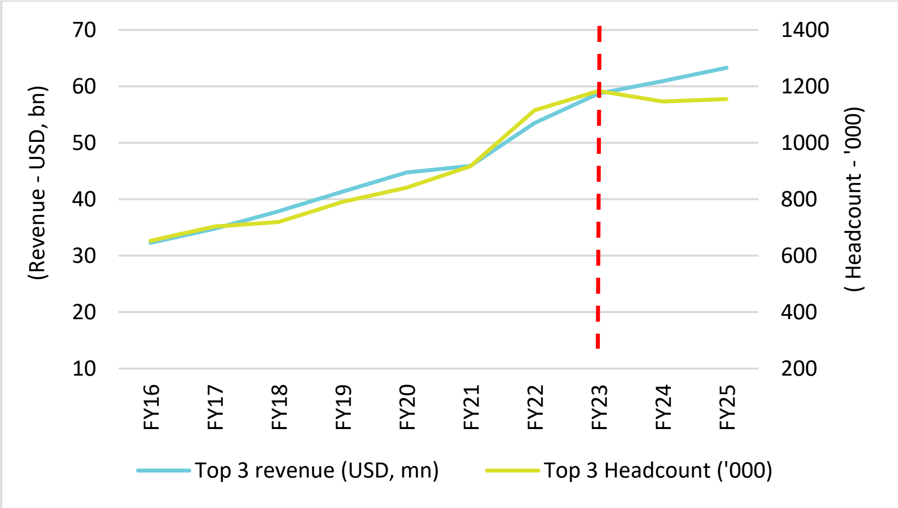
Impact on IT Services—business model and terminal value

The impact on the IT Services industry, from a headcount perspective, would be manifold. As autonomous agents take over large parts of build, test and run, delivery cycles shall shorten, leading to lower requirement of coders.

1) **Move away from T&M model:** Companies would start moving away from T&M to FPP/outcome based models. The industry had already been doing that over the last decade—already 40–50% of industry revenue comes from FPP/outcome based projects. We reckon this share shall accelerate in coming years.

2) **Lower correlation between headcount and revenue growth:** As dependence on headcount and T&M model reduces, the correlation between revenue and headcount growth would reduce sharply. IT Services companies would require fewer employees, to generate higher growth.

Exhibit 23: Revenue growth decoupled from headcount growth



Source: Company, Nuvama Research

Transformation of employee pyramid

The biggest concern for the IT Services industry due to Gen-AI is that it structurally reduces the need for human effort that underpins the services revenue model. As autonomous agents take over large parts of build, test and run, delivery cycles shorten, leading to lower headcount requirement. Hence, this translates to fewer billing hours, which could affect the terminal value or at least the terminal growth of these companies. We find the concerns overdone.

To understand the implication, we take a step back to understand how the IT Services business model works. Every project that an IT company undertakes is serviced by an employee pyramid—a typical pyramid represented in exhibit 24. As depicted, the pyramid has fewer people in the top and middle layers, and bulk in the bottom layer—largely made up of employees with 0–5 years experience. The billing rate that the IT company charges for these employees is also as per the pyramid structure—the top layer is charged the highest and the bottom layer the lowest.

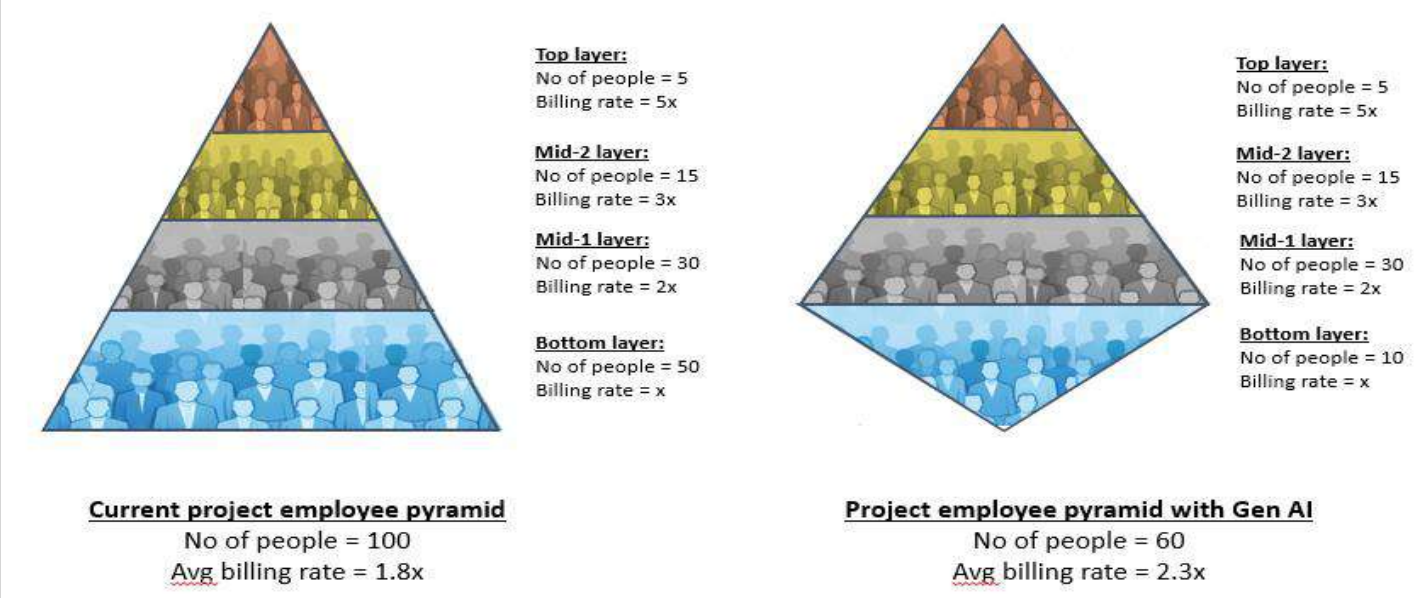
A good part of the impact of workforce reduction on the revenue growth, will be mitigated by the higher average billing rate

Now let us assume, using Gen-AI, an IT company is able to reduce this pyramid by 40%—work with only 60 people instead of 100. Bulk of the 40% reduction would occur in the bottom layer of the pyramid, as these people would be made redundant, as Gen-AI writes the code they would have written. This will essentially, transform the employee pyramid into an employee diamond shape (exhibit 24).

As is obvious, the diamond would have a higher share of employees in the higher layers (read higher billing rate) than the pyramid. Hence, even if a 40% reduction takes place in the workforce for the project, the reduction in revenue billed, which is a multiplication of effort * billing rate, will NOT reduce by 40%, but be much lower in magnitude. Moreover, whatever reduction the company does face in revenue, will me more than made up by the “new” work opportunities that Gen-AI will create.

Hence, we envisage little impact (if any at all) on the terminal value or growth of the Indian IT companies due to Gen-AI adoption. The near-term growth might falter a bit as the cannibalisation phase typically precedes the growth phase (as discussed in the last section). However, eventually, every technology disruption has incrementally created NET POSITIVE dollar opportunity for Indian IT companies; we do not envisage it to be any different this time. The trajectory or the pace of transformation may vary.

Exhibit 24: Transformation of employee pyramid, in the Gen-AI age, likely to lead to higher average billing rate



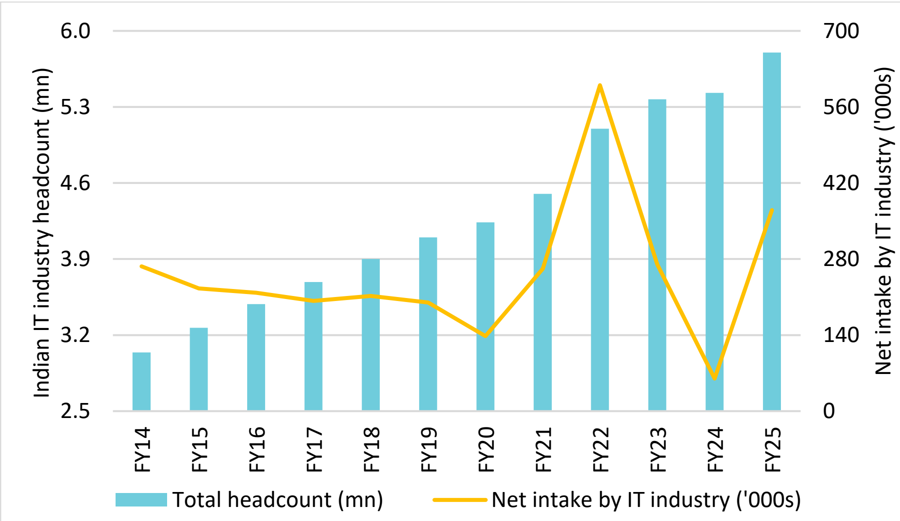
Source: Nuvama Research

Impact on overall industry hiring

This is where the picture gets murkier. Gen-AI adoption is likely to have a profound negative impact on the overall headcount in the IT Services industry. Currently, the Indian IT industry employs around 5.8mn people—mostly engineers from across the country. It has been the biggest source of white-collar employment after maybe financial services. India produces 1.4–1.5mn engineers every year. Traditionally, large part of them have been absorbed by the IT Services industry.

We believe as Gen-AI adoption becomes more widespread, net hiring by Indian IT sector is likely to reduce. We have already seen the pace of hiring slow down over the last few years, mainly due to the downcycle. This, in-turn was led by the weak global macro. However, add Gen-AI to the mix and the requirement of employees would come down incrementally, as many low-level coding and low-skill tasks would be done using various Gen-AI platforms. We do believe this hurts the overall Indian economy and many other sectors (such as consumption, real estate, etc). However, that topic is beyond the scope of this report (and the paygrade of the author).

Exhibit 25: Headcount addition by India IT industry has been stagnating



Source: Company, Nuvama Research

The battle of narratives

Over the last two months, an interesting “battle of narratives” has played out in the stock market in the technology space. The software/SaaS stocks in the US had been facing the brunt of investors worried about Gen-AI posing an existential threat to these companies. February onwards, the gaze of the investors/traders shifted to IT Services stocks – global and Indian.

Starting Feb-26, various Gen-AI platform companies (such as Anthropic, Palantir, Perplexity, etc) started making announcements about various enterprise levels solutions, that they were developing using Gen-AI. Claims ranged from understanding the mainframe language of COBOL to migrating ERP systems in weeks, rather than years. Interestingly, none of these companies provided any evidence of a pilot or a live project, which had been successfully implemented using these applications. Along with that, few “third-party” research firms (such as Citrini) published doomsday reports, further accentuating the fears. Investors and traders—who were already sceptical of the impact of Gen-AI on these firms—reacted in a disproportionate manner (in our opinion), leading to a sharp correction in stock prices of global SaaS and IT Services companies.

The listed SaaS and Services companies are generally more guarded and methodical in the nature of their public announcements. Just like any responsible public company, they do not make any irresponsible hyped statements just to move their stock price or keep the tap of their funding open. In terms of cricket, they let their bat (results and numbers) do the talking. While they continued to rely on that—assuming the market would give credence to numbers more than mere announcements—weekly/daily announcements trumped the quarterly results/commentary.

As a result, SaaS and Services companies too have now come out in the open. Over the last few weeks, we have seen senior managements of major SaaS and Services companies address investor’s concerns, on various platforms. Infosys, HCL Tech and TCS addressed investors in various investor meets. IBM wrote a blog on its website post the announcement by Anthropic that led to a 13% fall in its share price in a day. Workday and Accenture too addressed these concerns in their quarterly calls.

Why this excitement about enterprise adoption by Gen-AI firms

We believe this battle of narratives is going to continue for some time in near future. In an interesting statement, Mr Ken Griffin, CEO Citadel Securities said, *“These Gen-AI companies are raising USD500bn of capital every year. You’re not going to raise this kind of spend, unless you’re going to make a promise that you’re going to profoundly change the world”*.

Mr Ken Griffin, CEO Citadel Securities said, “These Gen-AI companies are raising USD500bn of capital every year. You’re not going to raise this kind of spend, unless you’re going to make a promise that you’re going to profoundly change the world”

https://www.youtube.com/watch?v=5Ez0iC9x3ds

The Gen-AI ecosystem is running on VC/PE capital, and to keep the tap open, they would need to keep the disruption story alive. B2C hype has been created, but B2C penetration does not justify the kind of valuations at which these companies are raising capital. To do that, they would need to penetrate the B2B/enterprise segment; that is why we believe these announcements would keep happening. Furthermore, given the cannibalisation of revenue in the current phase of technology adoption cycle, IT Services companies shall be unable to counter the same with an improved growth trajectory.

Exhibit 26: Announcements by AI platform companies – and counters by IT Services companies' management

Announcements by Gen-AI platform companies	
Anthropic	The economics of COBOL modernization have shifted. AI makes the economics work by automating what used to require armies of consultants. With AI, teams can modernize their COBOL codebase in quarters instead of years. Claude Code can automate tasks including code analysis, dependency mapping and translation to modern languages
Palantir	AI FDE is now capable of powering complex SAP ERP migrations from ECC to S/4. Years of work now done in as little as two weeks. And we are generalizing AI FDE's capabilities to do this for a broader and broader set of problems at our customers.
Anthropic	Claude scans codebases for security vulnerabilities and suggests targeted software patches for human review, allowing teams to find and fix security issues that traditional methods often miss.
Anthropic	Legal automates contract review, NDA triage, compliance workflows, legal briefings, and templated responses — all configurable to your organization's playbook and risk tolerances. Built for commercial counsel, product counsel, privacy/compliance, and litigation support teams.
Citrini	Bear case Scenario published by Citrini - The marginal cost of an AI coding agent had collapsed to, essentially, the cost of electricity. TCS, Infosys and Wipro saw contract cancellations accelerate through 2027.

Commentary by SaaS/Services companies' managements	
IBM blog	Translating code is one thing. Modernizing a platform is something else entirely. The two are not the same, and the gap between them is where most enterprises run into trouble.
Aneel Bhusri – CEO, Workday	Our application domains are really, really hard to build. I've been working in the HR and ERP space for over 30 years. These are true systems of record that must process transactions with absolute accuracy and speed, enforce complex security models and comply with statutory and regulatory requirements all over the world. That kind of complexity is very hard to replicate.
Nandan Nilekani - Chairman, Infosys	Accumulated tech debt over decades must be paid. You no longer have the option to defer this. And this is a huge, huge requirement. And obviously, it is a huge opportunity for us.
Salil Parekh - CEO, Infosys	The AI productivity leads to compression in IT services. However, today, we have a clear view that the opportunity is massive and large and that will become the driving force of what we will grow and drive through in the next coming years.
C Vijayakumar - CEO, HCL	AI will cause an estimated 2–3% annual deflation across services — something the company has already modelled — it also opens up a massive new growth opportunity. It's 4% [AI] now and I think it can be a very powerful growth driver. It has grown 20% quarter on quarter, and we think it can get to two and a half to USD3bn, much more than offsetting some of the decline that can happen in the existing business.
K Krithivasan - CEO, TCS	We are telling associates that if you find that you can do something faster, better, cheaper with AI, you should probably go and tell your customers, even if it cannibalises revenue. We are not afraid this technology will take away our livelihood. We believe it is going to open up more, so you enjoy the benefits the more you do, and not by resisting the change.
Julie Sweet - CEO, Accenture	Dire predictions about irrelevance of IT firms were made earlier too but have been proven wrong. One such instance was robotic process automation (RPA), which predicted that 47% of US jobs would be automatable. We helped our clients adopt RPA, and those who did created investment capacity to invest in new technologies and grow. And in fact, the IT services industry has thrived over the last decade.
Jensen Huang - CEO, Nvidia	There's this notion that the tool in the software industry is in decline, and will be replaced by AI ... It is the most illogical thing in the world, and time will prove itself

Source: Company, Nuvama Research, News articles.

Valuations close to bottoming out

The IT Services stocks—global and Indian—have corrected sharply over the last two months. Nifty IT has corrected -20% CYTD—dragged by large-caps and midcaps alike. We believe the stocks are close to their bottom multiples (if not already at it). We find three different ways to demonstrate that.

Close to historically low multiples

As a result, most of the large-cap stocks are now trading below their last 15 year's average—some very close to the bottom multiple of the same period. Midcaps—that have undergone a sharp rerating over last five years—are understandably higher than their historical average. However, these stocks too—considering their earnings growth expectations over next two years—are trading close to 1x PEG multiple—a near-bottom multiple, in our opinion.

Exhibit 27: Historical versus current multiples: Near long-term bottoms

Companies	Current multiple	Average multiple			Bottom multiple		
		Last 5 years	Last 10 years	Last 15 years	Last 5 years	Last 10 years	Last 15 years
TCS	16.6	26.75	24.09	22.51	16.90	15.11	15.11
Infosys	17.3	24.48	21.04	19.55	16.84	12.36	12.36
HCLT	18.6	21.39	17.70	16.67	16.12	9.47	9.47
Wipro	14.8	20.58	17.86	16.65	14.83	9.18	9.18
Tech Mahindra	18.0	21.37	17.60	15.90	13.81	8.97	8.17
LTIMindtree	20.5	30.71	24.76	24.76	21.02	10.75	10.75
Coforge	21.9	32.94	24.38	18.94	21.50	8.23	4.71
Persistent	32.9	39.60	27.26	22.27	24.59	9.09	8.10
Mphasis	19.4	26.30	20.92	17.61	16.69	9.65	7.63
Hexaware	18.7	29.25	29.25	29.25	19.16	19.16	19.16

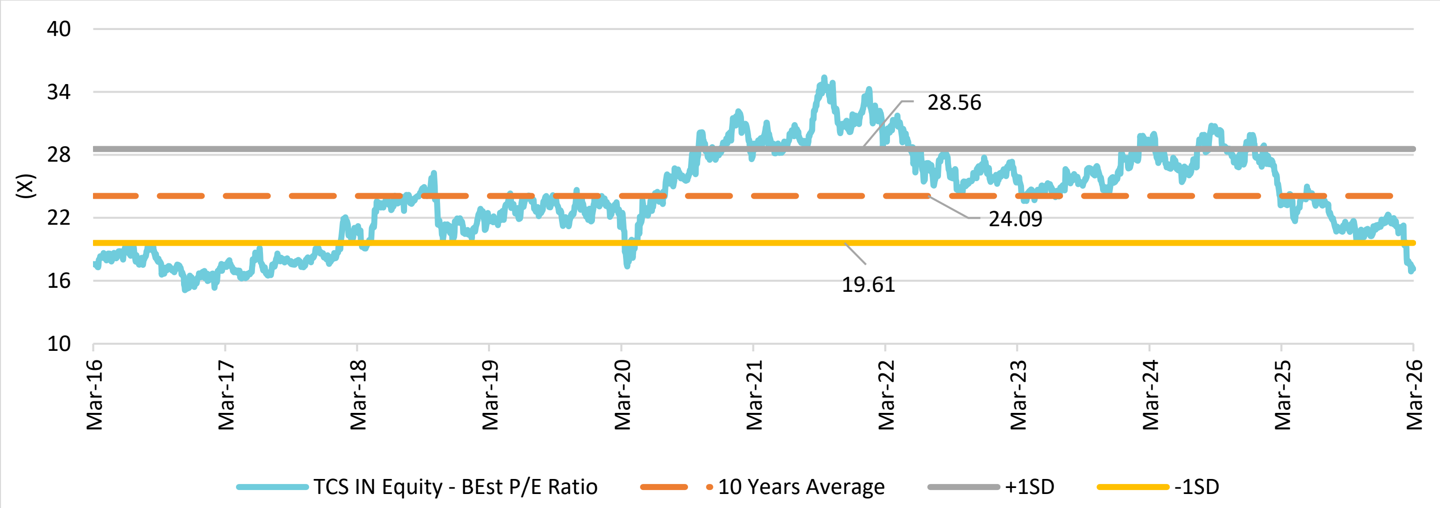
Source: Company, Bloomberg, Nuvama Research

Exhibit 28: PEG multiples highly attractive for midcaps

	FY27 PE	FY28 PE	EPS grw	EPS grw	PEG
			FY24-26	FY26-28	FY28
TCS	16.5	15.4	2.1%	10.4%	1.5
Infosys	17.6	16.1	7.0%	6.0%	2.7
HCL Tech	19.0	17.4	5.7%	9.9%	1.8
Wipro	15.4	14.8	10.1%	2.4%	6.1
Tech M	18.2	16.3	39.8%	18.0%	0.9
LTIMindtree	20.1	17.8	9.4%	14.4%	1.2
Coforge	21.8	17.8	27.0%	24.2%	0.7
Persistent	33.4	27.9	28.8%	20.5%	1.4
Mphasis	19.9	17.7	9.7%	12.0%	1.5
Hexaware	19.6	16.8	16.2%	10.9%	1.5

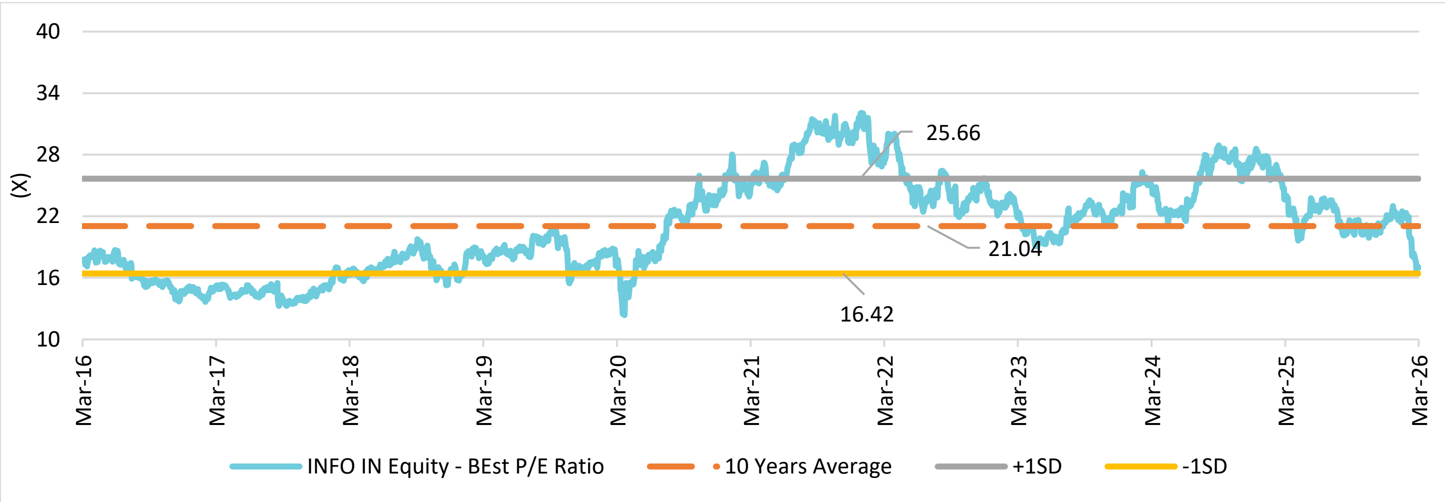
Source: Company, Nuvama Research

Exhibit 29: TCS valuation at discount to historical mean



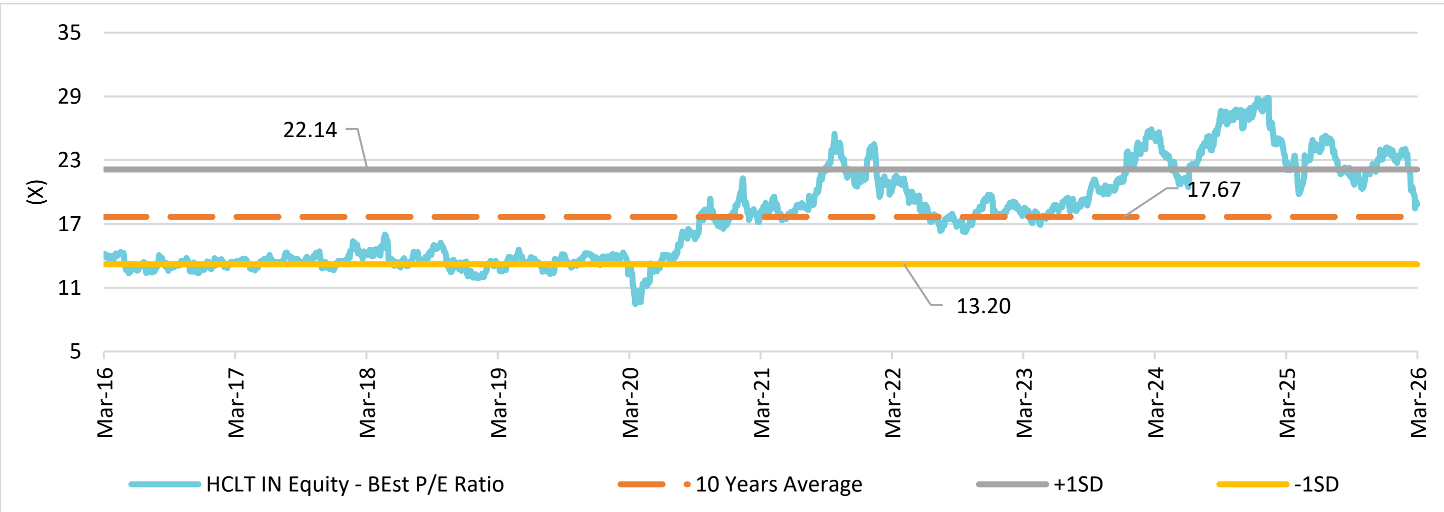
Source: Company, Bloomberg, Nuvama Research

Exhibit 30: Infosys valuation at discount to historical mean



Source: Company, Bloomberg, Nuvama Research

Exhibit 31: HCL Tech valuation at historical mean despite structural changes and rerating in last few years



Source: Company, Bloomberg, Nuvama Research

What does reverse DCF imply at current prices

It is THAT time of the industry cycle again—where we start looking at the reverse DCF of various stocks—what the current price implies, in term of near-term and terminal growth assumptions. The fact that we are doing this exercise is also an indication that the stocks are close to their bottom multiples (if not already there).

If we use the current prices to do a reverse DCF of the Indian IT Services companies, we find that the CMP is factoring in barely 1–3% growth as terminal growth for them. Coforge (our top pick) has fallen so sharply that its CMP now implies ZERO terminal growth rate. As discussed above, we do not believe the terminal value or growth is under threat due to Gen-AI. Hence, we believe these concerns are overdone and on a DCF basis too, these stocks offer a highly attractive value proposition.

Exhibit 32: Reverse DCF for companies implies extremely low terminal growth assumptions even with higher WACC

		Forecast period		Terminal assumptions		
Company	**CMP**	**Years of forecast**	**USD rev growth**	**WACC**	**Terminal growth**	**Fair value**
TCS	2,528	10	5.0%	11.0%	3.3%	2,444
Infosys	1,295	10	5.0%	11.0%	2.4%	1,284
HCL Tech	1,362	10	5.0%	11.0%	2.8%	1,338
Wipro	199	10	3.5%	11.0%	2.5%	197
Tech Mahindra	1,336	10	5.0%	11.0%	1.6%	1,306
LTIMindtree	4,317	10	11.0%	11.0%	1.8%	4,307
Coforge	1,140	10	15.0%	11.5%	0.0%	1,121
Persistent	4,780	10	15.0%	11.5%	5.0%	4,691
Mphasis	2,180	10	11.0%	11.5%	1.2%	2,150
Hexaware	442	10	10.0%	11.5%	1.5%	450

Source: Company, Nuvama Research

Highly attractive dividend yield

Lastly, the Top-five companies are now available at highly attractive dividend yields. We have always pointed out that India IT Services companies are highly cash-flow generating ones and this is a key differentiator for them versus global SaaS companies. Hence, we believe these attractive dividend yields are likely to create a bottom for these stocks — which does not appear to be too far away.

Exhibit 33: Dividend yields have reached highly attractive levels for large-caps

	Dividend per share (INR)				Dividend yield (%)		
Company	**FY25**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
TCS	126.0	124.0	135.0	145.0	4.9%	5.3%	5.7%
Infosys	43.0	50.0	55.0	60.0	3.8%	4.2%	4.6%
HCL Tech	60.0	62.0	70.0	75.0	4.6%	5.1%	5.5%
Wipro (IT Services)	6.0	15.0	18.0	20.9	7.5%	9.0%	10.5%
Tech Mahindra	45.0	45.0	50.0	50.0	3.4%	3.7%	3.7%
LTIMindtree	65.0	77.0	85.0	90.0	1.8%	2.0%	2.1%
Coforge	15.2	16.0	16.8	16.8	1.4%	1.4%	1.4%
Persistent	35.0	42.0	55.0	65.0	0.9%	1.2%	1.4%
Mphasis	57.0	60.0	65.0	65.0	2.8%	3.0%	3.0%
Hexaware	8.8	11.5	8.0	8.0	2.5%	1.7%	1.7%

*Source: Company, Nuvama Research (*excluding buybacks)*

Recommendations

We believe the recent sharp correction in stock prices of the IT Services sector offers a highly attractive opportunity to buy high-quality high-cash-generating long-term sustainable business model companies, at bottom cycle valuations. Moreover, as we have seen in the last two quarters, earnings downgrade cycle has bottomed out for the sector—barely any EPS downgrades for two consecutive quarters (excluding Hexaware). This is also reflective of the fact that revenue/earnings growth estimates for the sector are highly conservative and have limited scope for any further cuts.

Exhibit 34: Most stocks* have seen EPS estimates maintained in last two quarters

Consensus est	Change in EPS est – since Jan 2026			Change in EPS est – since Oct 2025		
Change in EPS	**FY26**	**FY27**	**FY28**	**FY26**	**FY27**	**FY28**
TCS	0%	1%	1%	0%	1%	1%
Infosys	1%	2%	2%	2%	3%	3%
Wipro	0%	1%	0%	0%	0%	1%
HCLT	0%	1%	2%	-1%	2%	3%
TechM	-1%	3%	3%	-3%	2%	1%
LTIM	-1%	2%	2%	5%	6%	7%
Persistent	4%	4%	4%	7%	7%	8%
Coforge	0%	2%	2%	5%	5%	6%
Mphasis	-1%	0%	0%	0%	0%	1%
Hexaware	-7%	-6%	-2%	-9%	-9%	-6%

*Source: Bloomberg, Nuvama Research (*excluding Hexaware)*

Hence, we believe it is an excellent opportunity to buy the sector at highly attractive valuations. We maintain estimates and lower target multiples slightly to factor in risks from possible higher Gen-AI disruption. We were already positive on six of the Top-ten IT Services companies. We further upgrade the remaining four—HCL Tech, Wipro, Tech Mahindra and Hexaware—current valuation being highly attractive.

We now have a '**BUY**' on ALL the Top-ten IT Services companies. We believe investors would make handsome returns in ALL of these stocks from current levels, over next 12–15 months. However, we prefer Coforge, LTIMindtree, Persistent, Mphasis, Infosys and TCS among these names. Coforge remains our top pick.

Exhibit 35: Our recommendations

	CMP	FY27 EPS	FY28 EPS	Rating	New Target	New PT	Upside	*Old Target*	*Old PT*
	INR	**INR**	**INR**		**PE (x)**	**INR**	**%**	***PE (x)***	***INR***
TCS	2,528	154	164	BUY	20	**3,300**	31%	*23*	*3,750*
Infosys	1,295	75	81	BUY	20	**1,650**	27%	*23*	*1,900*
HCL Tech	1,362	72	78	BUY	20	**1,550**	14%	*22*	*1,700*
Wipro	199	13	13	BUY	18	**240**	21%	*19*	*255*
Tech Mahindra	1,336	73	82	BUY	20	**1,650**	24%	*20*	*1,650*
LTIMindtree	4,317	215	243	BUY	25	**6,100**	41%	*32*	*7,750*
Coforge	1,140	54	66	BUY	32	**2,100**	84%	*38*	*2,500*
Persistent	4,780	143	171	BUY	35	**6,000**	26%	*45*	*7,700*
Mphasis	2,180	110	123	BUY	25	**3,100**	42%	*28*	*3,400*
Hexaware	442	23	27	BUY	20	**550**	24%	*25*	*690*

Source: Company, Nuvama Research

Financial summary – IT Services

Exhibit 36: Key financial metrics

	USD rev growth (% YoY)			EBIT Margins (%)			EPS growth (% YoY)		
Companies	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
TCS	-0.6	4.1	6.0	25.0	25.6	25.8	0.5	13.9	7.0
Infosys	4.2	5.6	7.6	21.1	21.2	21.3	12.7	3.1	9.0
HCL Tech	6.3	6.2	7.6	17.4	18.0	18.3	0.9	10.7	9.1
Wipro	-0.2	2.4	4.3	16.7	17.0	17.1	2.1	1.0	3.9
TechM	1.8	5.2	6.6	12.4	13.9	14.4	22.6	25.0	11.5
LTIMindtree	6.5	9.0	10.4	15.5	15.9	16.3	19.3	16.0	12.9
Coforge	29.8	17.8	18.4	13.6	14.1	14.2	47.8	25.8	22.6
Persistent	17.8	18.7	18.4	16.2	16.5	16.7	31.3	21.5	19.6
Mphasis	6.9	9.3	11.7	15.3	15.4	15.5	9.8	11.6	12.5
Hexaware	7.6	7.6	10.6	13.0	13.6	14.1	14.8	5.7	16.4

Source: Company, Nuvama Research

Exhibit 37: Key financial ratio

	PE (x)			ROE (%)			Div yield (%)		
Companies	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
TCS	18.7	16.5	15.4	43.3	46.6	47.1	4.9%	5.3%	5.7%
Infosys	18.1	17.6	16.1	36.9	34.5	34.2	3.8%	4.2%	4.6%
HCL Tech	21.1	19.0	17.4	24.4	26.9	29.0	4.6%	5.1%	5.5%
Wipro	15.6	15.4	14.8	15.0	16.1	18.5	7.5%	9.0%	10.5%
TechM	22.7	18.2	16.3	19.8	22.9	23.2	3.4%	3.7%	3.7%
LTIMindtree	23.3	20.1	17.8	23.3	23.2	22.5	1.8%	2.0%	2.1%
Coforge	27.4	21.8	17.8	19.4	21.0	21.6	1.4%	1.4%	1.4%
Persistent	40.5	33.4	27.9	23.1	23.9	24.3	0.9%	1.2%	1.4%
Mphasis	22.2	19.9	17.7	19.7	20.2	20.5	2.8%	3.0%	3.0%
Hexaware	20.7	19.6	16.8	21.3	19.6	19.6	2.5%	1.7%	1.7%

Source: Company, Nuvama Research

Exhibit 38: Key financial metrics

	Revenue (USD bn)			EBIT (INR bn)			EPS (INR)		
Companies	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
TCS	30.0	31.2	33.1	658.6	702.0	751.0	135	154	164
Infosys	20.1	21.2	22.8	371.8	396.5	428.7	73	75	81
Wipro	14.7	15.6	16.8	223.9	247.2	270.6	65	72	78
HCL Tech	10.5	10.7	11.2	153.1	161.7	170.1	13	13	13
TechM	6.4	6.7	7.2	69.3	82.3	90.8	59	73	82
LTIMindtree	4.8	5.2	5.8	64.9	72.7	82.4	185	215	243
Coforge*	1,876	2,210	2,617	22,013	27,346	32,771	43	54	66
Persistent*	1,660	1,971	2,334	23,579	28,612	34,314	118	143	171
Mphasis*	1,796	1,964	2,192	23,976	26,366	29,716	98	110	123
Hexaware*	1,537	1,654	1,830	17,517	19,794	22,762	22	23	27

*Source: Company, Nuvama Research (*Revenue USD mn, EBIT INR mn)*

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